EXECUTIVE SUMMARY

A. Introduction

The Municipality of Abulug lies along the northwestern part of the province of Cagayan. It is approximately 124 kilometers away from Tuguegarao city, the capital town. It is bounded on the north by the Babuyan Channel; on the south by the province of Apayao; on the east by the Municipality of Ballesteros and on the west by the municipality of Pamplona, Cagayan.

Tulug, the original name of Abulug had been a flourishing fishing village long before Don Juan Salcedo sailed to the mouth of Abulug River in 1572. In 1969, the name ""Tulug"" was changed into Abulug including two barangays of Fotol and Capinatan. It is a typical Ybanag town. The immigrating Ilocanos had contributed to large extent to the progress of the town. Abulug has a total land area of 19,969 hectares or 199.69 square meters representing 2.22% of the total area of the province.

B. Highlights of Financial Information

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2015 and 2014:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2015	2014	Increase (Decrease)
Assets	₱154,391,165.59	₱134,527,584.97	₱19,863,580.62
Liabilities	94,459,011.01	92,442,933.55	2,016,077.46
Government Equity	59,932,154.58	42,084,651.42	17,847,503.16

b. Income and Expenses

	2015	2014	Increase (Decrease)
Income	₱88,349,529.58	₱78,845,862.81	₱9,503,666.77
Expenses	73,534,653.26	60,660,603.56	12,874,049.70

c. Appropriations/Obligation

	2015	2014	Increase (Decrease)
Appropriations	₱88,190,527.22	₱81,867,191.28	₱6,323,335.94
Obligations	₱79,490,143.32	₱76,574,757.21	₱2,915,386.11

d. Summary of Suspensions, Disallowances and Charges as of Year End

	2015	2014	Increase (Decrease)
Suspensions	-	-	
Disallowances	₱536,449.33	₱551,853.60	(15,404.27)
Charges	-	-	
Total	**₱536,449.33**	**₱551,853.60**	**(15,404.27)**

The municipality's assets, liabilities and equity increased by ₱19,863,580.62, ₱2,016,077.46 and ₱17,847,503.16 respectively. Total income amounted to ₱88,349,529.58 which is ₱9,503,666.77 higher than last year's collection amounting to ₱78,845,862.81.

C. Scope of Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Abulug, Cagayan for the year ended December 31, 2015. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

D. Auditor's Opinion on the Financial Statements

We rendered an unqualified opinion on the fairness of the presentation of the Financial Statements of the Municipality of Abulug, Cagayan, as of December 31, 2015.

E. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. Various expenses totalling ₱1,042,903.37 were paid through reimbursements instead of paying directly to the supplier/creditor in violation of Section 93 of Presidential Decree 1445, casting doubt as to the validity of the transactions.

We recommended that management stop the practice of paying various expenses through reimbursement basis pursuant to Section 93 of PD 1445.

2. Payment of overtime services amounting to ₱366,256.77 was not supported with complete documentation contrary to COA Circular No. 2012-001 dated June 14, 2012.

We recommended that concerned department heads carefully plan activities of their offices to minimize the possibility of overtime and could ultimately save additional resources for the Local Government of Abulug. Likewise, require the Municipal Accountant to attach all required supporting documents for all overtime services before effecting payment.

3. Copies of contracts, purchase/job orders and notices of deliveries were not submitted within the prescribed period in violation of Items 1-2, Section A of COA Circular No. 96-010 dated August 15, 1996 and COA Circular No. 76-34 dated July 15, 1996, thereby causing delay in their review and evaluation.

We recommended that concerned officials adhere strictly with the provisions of above-cited COA Circular. In so doing, the auditor concerned may have the chance to have a timely review and evaluation of the terms and conditions stipulated in the POs/JOs as well as to conduct inspection on the deliveries of supplies and equipment. This may also give ample time for the auditor to advise management on any defect in the contract for possible correction and to ascertain the existence of delivered items and compliance with specifications contained in the POs/JOs.

4. The Municipality has no Solid Waste Management Plan duly approved by the National Solid Waste Management Commission in violation of Section 16 of Republic Act No. 9003. Thus, it deprived the constituents of the municipality to a systematic, comprehensive and ecological solid waste management program on better protection of public health and environment.

We recommended that the Solid Waste Management Plan be duly approved by the National Solid Waste Management Commission to ensure that the programs and activities included in such plan are consistent with the National Solid Waste Management Framework and to ensure that the municipality adopted a systematic, comprehensive, and ecological waste management program.

5. Audit disallowances amounting to ₱538,253.60 remained unsettled contrary to COA Circular No. 2009-006 dated September 15, 2009.

We recommended that management employ all possible means provided by law for the settlement of disallowances. In addition, settlement of audit disallowances that become final and executory should be strictly enforced by withholding the salaries and other compensation due to the persons liable who are still employed with the government.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven (7) audit recommendations contained in the Annual Audit Report for Calendar Year 2014, four (4) were fully implemented, one (1) was not implemented and two (2) were partially implemented.